7320 East Belleview Street

Scottsdale, Arizona

Bruce Yu | Queen's University

March 22nd, 2026



Property, Headwinds & Tailwinds in PHX

Purchase price: $6,615,000 USD

Number of Units: 21
1 brdm/1bath, 2 bdrm/1 bath, 2 bdrm/1.5 bath

15,520 rentable square feet, patio homes and townhouses

Built in 1960 located at South Scottsdale in the East side of metro Phoenix

$900k exterior capital improvements: major systems (HVAC, Pool Plaster, Paint, Landscaping, Iron Gates)



Headwinds

Phoenix AMA does not support AWS determinations for groundwater, so developments cannot assume east long-term water paths. Developable sites are reduced and require more planning and coordination for alternative water sourcing.

Phoenix vacancy hit 12.8% in 2025, signaling overbuilding in parts of the metro and more cash flow uncertainty. The market saw about 15,000 apartment deliveries in 2025, while average concessions rose to 2.3%, giving buyers more leverage as owners used concessions to protect occupancy. Rising labor and material costs, including lumber affected by tariffs, have increased multifamily development costs.

Tailwinds

Arizona experiences continuous population (~1.01% YoY 2024-2023) and employment growth (~1.01% YoY 2024-2023 and ~1.03% YoY 2023-2022), the younger working population will prefer to rent over buy due to increasing price sensitivity.

Arizona's commercial property is only taxed at 16% of property value, amongst neighboring states like New Mexico and Colorado (33.33% and 25%). Low commercial property taxes are attractive to buyers. There are no rent control policies in Arizona, landlords can justify rent premiums.

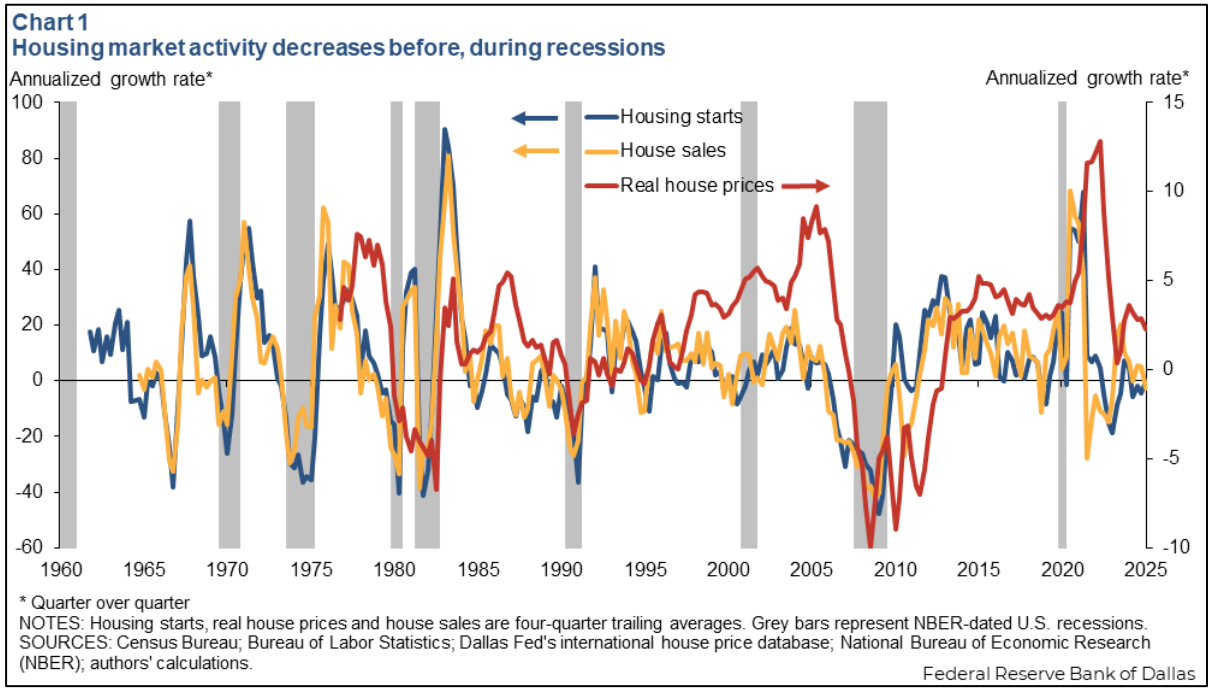
Economic Overview

United States

The Fed is holding the interest rate at target 3.5%-3.75%. There aren't any noticeable effects on mortgage rates, but affordability remains a big issue for buyers. Home prices are up ~60% since before the pandemic; thus, property owners do not want to sell as they hold on to low mortgage rates from COVID, keeping U.S. housing prices up.

Thirty-year mortgage rates are slowly declining but due to limited inventory, buyers are fearful of entering the market. Other factors such as tariffs and current conflict in Iran proposes uncertainty to sellers and buyers in the real estate market. The population prefers stable safe-havens like Treasury bonds in times where liquidity is vital. Rental markets will continue to grow due to affordability challenges and current interest rates. Investors can capitalize on the higher rental demand with higher rent prices.

Housing market activity typically decreases before and during recessions, with house sales and housing starts showing earlier declines, while house prices tend to lag behind, often reacting after other indicators signal economic slowdown



City and Economic Overview

PHX infrastructures and Developments

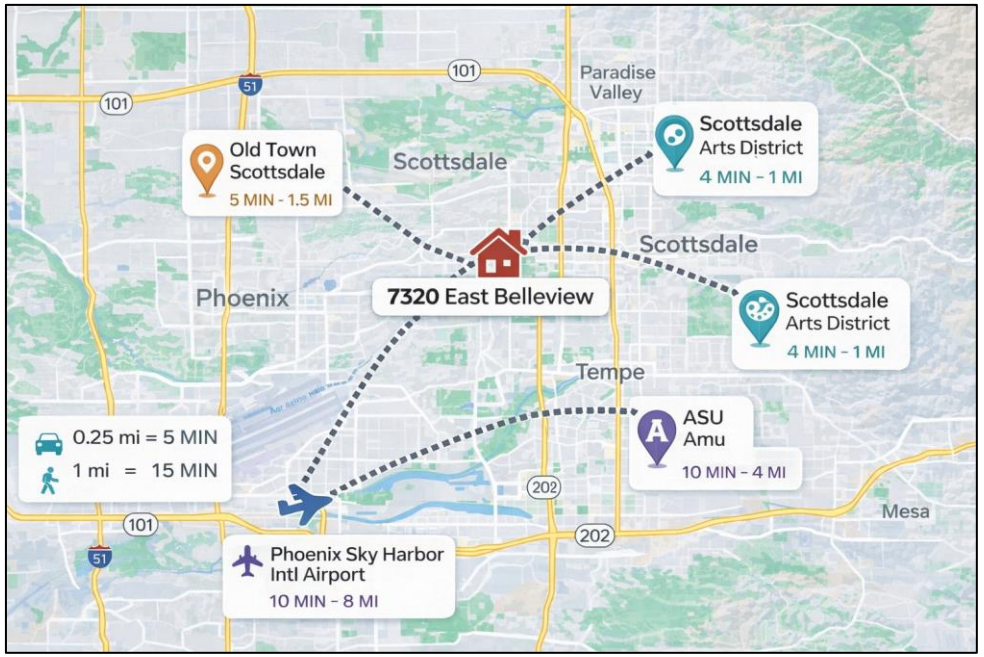
Phoenix industrial market leads the U.S. with ~$520B investments across 10 major projects. Major companies like LG, Amcorp, TSMC are building facilities around the outskirts of Greater Phoenix. Strong tenant demand for industrial asset class, leasing activity exceeded 29M+ sqft in 2025

City of Phoenix General Plan 2025 (at least next 10 years, 2025-2035)

Bus Rapid Transit (BRT): development of BRT transit line in Phoenix planned to begin construction in 2029 and completed in 2030

Valley Metro Rail: extensions for railways with many stations

Highway & Road: improvements on Loop 101 and freeway projects



Map graphic generated with ChatGPT, 2026.

Employment, Unemployment, Income, Migrations

- Phoenix is a national hotspot for net migrations from high-cost regions like California
- Employment rate in Phoenix is experiencing positive YoY change (1.01% 2024-2023)
- Unemployment rate has gone up to 3.6% an increase from 3.3% in 2024 but below national average of 4.6%
- Median household income increased 4.0% to $91,800 in 2025.

BLS, Cushman & Wakefield, azmag.gov, chatgpt.com

Population Observation

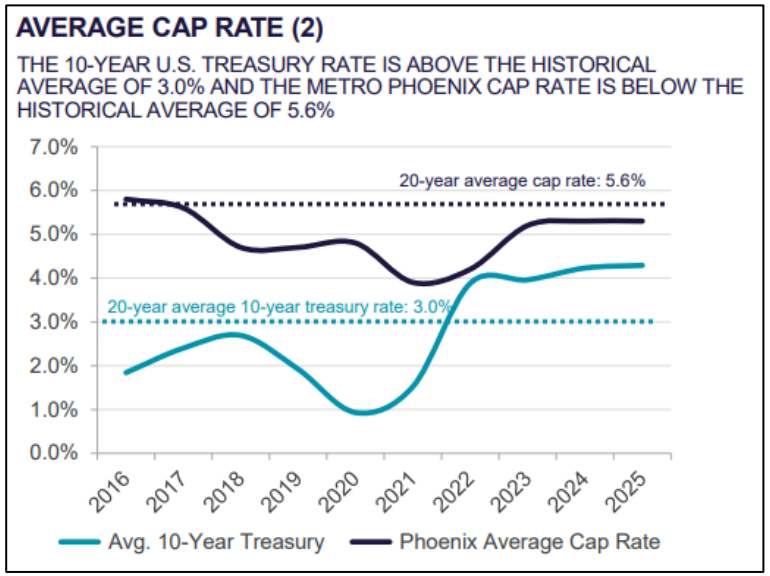
The population of metro Phoenix is currently around 5.13 million people in 2023, whereas the population was at around 4 million in 2010. Metro Phoenix has a relatively young population with a median age of 37.6 in 2023. In 2020-2022 in the pandemic surge, Phoenix saw major demand in housing driven by historical migration and low housing supply. Although not big, we can expect net migrations to increase due to the industrial boom consequently bringing in more demand.

Asset Class Market Analysis

1. Cap Rates

CPI for rent peaked out at 2024 and has softened up for 2025, signaling steady strong demand for rental properties in Metro Phoenix.

Cap rates currently range from 4.8%-5.2%, multifamily investments in Phoenix have relatively low rates.



The lower cap rate signals steady demand for rental properties, especially in a high-migration market like Phoenix. Historical cap rate compression shows multifamily properties creating value through appreciation.

Cushman & Wakefield, BLS, CBRE

2. Absorption Rate and Pipelines

20,645 units were produced in 2025 with absorption of around 17,000 units. Although an imbalance is apparent, the absorption rate sits well above the historical rate of 6100 units annually with a 171% increase. The projection for units produced to drop in 2026 and 2027 with steady demand signifies that vacancies will drop while rent performance will increase.

3. Absorption Rate and Pipelines

The rent to income ratio was 19.7% in Q3 2025, while the cost of buying a single-family home was double the amount of the average rent in Metro Phoenix. Despite GDP growth slowing down, Phoenix will experience economic growth due to the inflow of people from steady population growth, and jobs created from major industrial investments by firms like LG, TSMC, and Mayo Clinic.

Investment Thesis

Why Multifamily? Why 7320 East Belleview Street?

Industrial attractiveness raises rental cost & demand

1. Industrial sales volume in Phoenix had a 6.9% increase in 2025 from 2024, Phoenix will attract investors and workers due to demand. The increase in population and projected diminishing multifamily units, scarcity will drive up rental prices.
2. The growth of the industrial sector will require more workers which in turn will result in people looking for affordable housing. The city's plan for urbanization along with evident population growth from net migrations will drive demand for rental properties.

Renovations, Location, Job Market

1. Low-rise 21 unit townhouse that includes two private patio spaces that was renovated in 2025. Renovations included major systems like HVAC and roofing that improved the property's cooling system, and exterior design.
2. Walking distance and minutes away from SkySong and Old Town Scottsdale, attractive to buyers that want work in Old Town that do not want to pay Old Town rent levels. Located on the edge of south Scottsdale in a low crime rate area that has high asking rent and low vacancy rates relative to other metro Phoenix areas (Refer to Appendix).
3. The diversified economy in metro Phoenix is exposed to high-growth sectors that will attract high-income and stable renters which will reduce risk associated with short-term leases and drive lease renewals.

Valuation

Comparable Sales

	7320 East Belleview	6616-6628 East Avalon Drive	1221 North 85th Place	1917 East Broadway Road
Sale Price	$ 6,615,000.00	$ 3,590,000.00	$ 8,000,000.00	$ 7,000,000.00
Location	South Scottsdale	South Scottsdale	South Scottsdale	Tempe
Reported SQFT	15,520.00	10,260.00	18,800.00	20,550.00
$/SQFT	$ 426.22	$ 349.90	$ 425.53	$ 340.63
Units	21	12	24	27
Year Built/Renovated	1960/2025	1962/2022	1984/2022	1963/2018
Amenities	Pool and 2 Private Patios	Parking and Patio	No	Pool and Parking
Normalization				
Reported SF Adjustment		$ 789,000.00	$ (492,000.00)	$ (754,500.00)
Renovation Adjustment		$ 300,000.00	$ 250,000.00	$ 500,000.00
Amenities Adjustment		$ 35,000.00	$ 60,000.00	$ -
Unit Adjustment		$ 135,000.00	$ (45,000.00)	$ (90,000.00)
Normalized Price		$ 4,849,000.00	$ 7,773,000.00	$ 6,655,500.00
Reconciliation and Weighting of Normal Prices				
Property		**Normalize Prices**	Weight	Weighted Prices
Comp 1:		$ 4,849,000.00	10%	$ 484,900.00
Comp 2:		$ 7,773,000.00	50%	$ 3,886,500.00
Comp 3:		$ 6,655,500.00	40%	$ 2,662,200.00
Value of Property				$ 7,033,600.00

#1: 6616 to 6628 E Avalon Dr



#2: 1221 North 85th Place



#3: 1221 North 85th Place



Financial Model

Pro-Forma Breakdown: NOI

All figures in $USD		Historical	Projected									
	Units:	12/31/2025	12/31/2026	12/31/2027	12/31/2028	12/31/2029	12/31/2030	12/31/2031	12/31/2032	12/31/2033	12/31/2034	12/31/2035
Operating Revenue												
(+) Base Rental Income	$	473,019.12	487,209.69	501,825.98	516,880.76	532,387.19	548,358.80	564,809.57	581,753.85	599,206.47	617,182.66	635,698.14
(-) Bad Debt & Concessions	$	(23,650.96)	(24,360.48)	(25,091.30)	(25,844.04)	(26,619.36)	(27,417.94)	(28,240.48)	(29,087.69)	(29,960.32)	(30,859.13)	(31,784.91)
(+) Parking Income	$	12,600.00	12,852.00	13,109.04	13,371.22	13,638.65	13,911.42	14,189.65	14,473.44	14,762.91	15,058.17	15,359.33
Potential Gross Revenue	$	**461,968.16**	**475,701.21**	**489,843.73**	**504,407.95**	**519,406.47**	**534,852.28**	**550,758.73**	**567,139.60**	**584,009.05**	**601,381.70**	**619,272.57**
(-) General Vacancy	$	-	(41,412.82)	(40,146.08)	(38,766.06)	(39,929.04)	(41,126.91)	(42,360.72)	(43,631.54)	(44,940.49)	(46,288.70)	(47,677.36)
Effective Gross Income (EGI)	$	**461,968.16**	**434,288.38**	**449,697.65**	**465,641.89**	**479,477.43**	**493,725.37**	**508,398.02**	**523,508.06**	**539,068.57**	**555,093.00**	**571,595.20**
EGI Growth Rate	%	-	-5.99%	3.55%	3.55%	2.97%	2.97%	2.97%	2.97%	2.97%	2.97%	2.97%
Operating Expense												
(-) Utilities	$	(6,930.00)	(7,068.60)	(7,209.97)	(7,354.17)	(7,501.25)	(7,651.28)	(7,804.31)	(7,960.39)	(8,119.60)	(8,281.99)	(8,447.63)
(-) Repairs & Maintenance	$	(29,610.00)	(30,202.20)	(30,806.24)	(31,422.37)	(32,050.82)	(32,691.83)	(33,345.67)	(34,012.58)	(34,692.83)	(35,386.69)	(36,094.42)
(-) General & Admin	$	(5,670.00)	(5,783.40)	(5,899.07)	(6,017.05)	(6,137.39)	(6,260.14)	(6,385.34)	(6,513.05)	(6,643.31)	(6,776.17)	(6,911.70)
(-) Property Taxes	$	(13,230.00)	(13,494.60)	(13,764.49)	(14,039.78)	(14,320.58)	(14,606.99)	(14,899.13)	(15,197.11)	(15,501.05)	(15,811.07)	(16,127.30)
Total Expenses	$	**(55,440.00)**	**(56,548.80)**	**(57,679.78)**	**(58,833.37)**	**(60,010.04)**	**(61,210.24)**	**(62,434.44)**	**(63,683.13)**	**(64,956.80)**	**(66,255.93)**	**(67,581.05)**
Net Operating Income (NOI)	$	**406,528.16**	**377,739.58**	**392,017.87**	**406,808.52**	**419,467.39**	**432,515.13**	**445,963.57**	**459,824.93**	**474,111.77**	**488,837.06**	**504,014.15**
NOI Margin	%	*88%*	*87%*	*87%*	*87%*	*87%*	*88%*	*88%*	*88%*	*88%*	*88%*	*88%*

Revenue Assumptions

Revenue:	# of Units	Avg SF	Market Rent / SF	Growth Rate
Residential Rental Revenue	21	739	$ 2.54	3%

Other Revenue:	Count	Price	Growth
Parking	21	$ 50.00	2%

Expense Assumptions

Operating Expenses	$Unit/Month	Growth
Utilities	$ 27.50	2%
Repairs & Maintenance	$ 117.50	2%
General & Admin	$ 22.50	2%
Property Taxes	$ 52.50	2%

	$Unit/Year	Growth
CapEx	$ 300.00	3%

Assumptions for NOI calculation:

For operating expenses, I took the midpoint of market-level prices and reflected it on my expenses

Lower capex growth rate because property had undergone significant capital improvements in 2025, but still considering fact that an old property needs moderate replacements

Assumed growth rate of 2%, conservative because of uncertainty, although inflation is currently slowing down there's always uncertainty.

NOI dips first few years because of vacancy, projected rate to go downward because of future job opportunities and stable population growth.

Financial Model

Pro-Forma Breakdown: Debt

(-) Capital Expenditures	$	-	(6,300.00)	(6,489.00)	(6,683.67)	(6,884.18)	(7,090.71)	(7,303.43)	(7,522.53)	(7,748.21)	(7,980.65)	(8,220.07)
Projected Cash Flow (FCF)												
Purchase Price	$	(6,151,950.00)										
Purchase Fees (3%)	$	(184,558.50)										
Sales Price	$											8,660,946.60
Sales Fees	$											(259,828.40)
Unlevered Cash Flow	$	(6,336,508.50)	$371,439.58	$385,528.87	$400,124.85	$412,583.21	$425,424.43	$438,660.15	$452,302.40	$466,363.57	$480,856.41	$8,896,912.29
Debt												
(-) Loan Amount	$	(4,306,365.00)										
(-) Interest Expense	$		252,203.18	248,936.65	245,472.44	241,798.58	237,902.40	233,770.43	229,388.42	224,741.22	219,812.78	214,586.10
(-) Principal Repayment:	$		53,977.70	57,244.24	60,708.45	64,382.31	68,278.49	72,410.45	76,792.47	81,439.67	86,368.10	91,594.79
Loan Balance	$	(4,306,365.00)	(4,252,387.30)	(4,195,143.06)	(4,134,434.61)	(4,070,052.30)	(4,001,773.81)	(3,929,363.36)	(3,852,570.89)	(3,771,131.22)	(3,684,763.11)	(3,593,168.32)
Levered Cash Flow	$	(2,030,143.50)	65,258.70	79,347.98	93,943.96	106,402.33	119,243.54	132,479.26	146,121.51	160,182.68	174,675.53	4,997,563.07

As of 22/03/2026, Treasury shows 10-year yield of 4.39%, I'm adding 1.5% with 70% LTV because CBRE measures 141bps at 60-65%, terms are reasoned since location and asset is newly renovated.

LTV a bit higher because we are willing to take that risk for better returns.

Summary of Risks and Returns			
Unlevered IRR	**8.84%**	**DSCR**	**1.23**
Unlevered EMx	**2.01**	**Cash on Cash (Y1)**	**3.21%**
Levered IRR	**13.00%**	**Yield on Cost**	**5.96%**
Levered EMx	**2.99**	**Dev Spread**	**0.18%**

Total Development Cost	(6,336,508.50)
Debt	(4,306,365.00)
Equity Invested	(2,030,143.50)

Buying below asking price, lower equity required upfront. I focused on projected growth in value through rent, operations and eventually the exit value. Furthermore, DSCR and CoC reflects too as near-term numbers are tight, rely on future growth.

Levered IRR is 13%, relatively conservative with assumptions, investment has relatively low risk and yielded an attractive levered IRR rate.

Undercutting by 7% for purchase because of a lack of in-person assessments. Online listings and offerings always show upside, but we definitely want to take into account age-related issues, potential renovation quality, wear on property, and layout issues that are not presented online.

Verdict

Takeaways and Decision

Key Takeaway #1:

Newly renovated property that is in the South side of Scottsdale in Arizona, the property is situated conveniently to many attractions and job locations.

Key Takeaway #2:

Entry and exit cap rates are relatively low and around the standard in multifamily properties in Arizona. There is a good avenue for future growth in the market and ROI will be significant.

Key takeaway #3:

Unlevered IRR at 8.84% and levered IRR at 13%, although numbers are not too bullish, it shows lower-risk for a attractive buy. The property has good fundamentals and the debt used will enhance returns.

Decision: BUY

Appendix

Assumptions

Revenue Assumptions				
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Other Revenue:	Count	Price	Growth	
Parking	21	$ 50.00	2%	

Expense Assumptions		
Operating Expenses	$Unit/Month	Growth
Utilities	$ 27.50	2%
Repairs & Maintenance	$ 117.50	2%
General & Admin	$ 22.50	2%
Property Taxes	$ 52.50	2%
	$Unit/Year	Growth
CapEx	$ 300.00	3%

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Rent & Parking Projections

Base year	Y0	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
$ 473,019.12	$ 487,209.69	$ 501,825.98	###########	$ 532,387.19	$ 548,358.80	$ 564,809.57	$ 581,753.85	$ 599,206.47	$ 617,182.66	$ 635,698.14	$ 654,769.09
$ 12,600.00	$ 12,852.00	$ 13,109.04	$ 13,371.22	$ 13,638.65	$ 13,911.42	$ 14,189.65	$ 14,473.44	$ 14,762.91	$ 15,058.17	$ 15,359.33	$ 15,666.52

Concessions Justification											
absorption rates are relatively high, assume lower value	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
Vacancy projection	8.50%	8.00%	7.50%	7.50%	7.50%	7.50%	7.50%	7.50%	7.50%	7.50%	7.50%
caveat: I feel like this Is fair bc supply is diminishing and vacany will only decrease, also 9.4% vacancy in north scottsdale while orion says stabilized is under 7%, I'm taking a conversative assumption											

Appendix

Assumptions

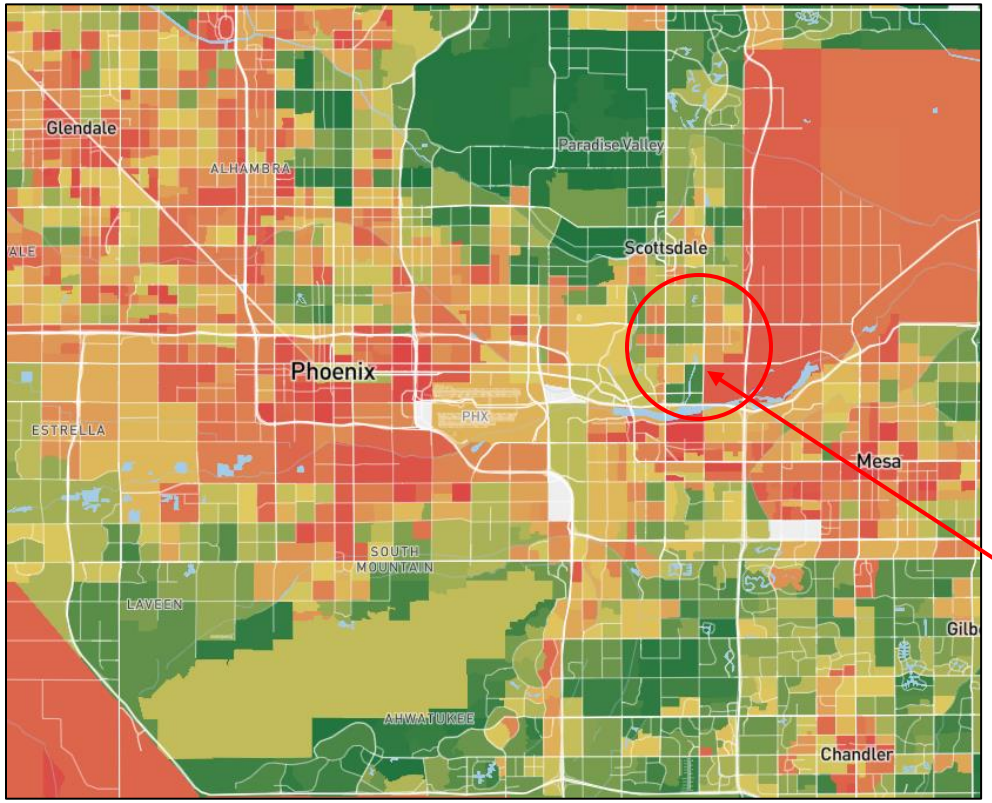
Acquisition and Exit Assumptions:	Units:			Units:	
Acquisition Date:	*Date*	2026-03-22	Exit Date:	*Date*	2036-03-22
Acquisition Price:	*$*	$ 6,151,950	Exit Cap Rate:	*%*	6.00%
Implied Going-In Cap Rate:	*%*	5.71%	Exit Price:	*$*	$ 8,896,912
Acquisition Price per Unit:	*$ / Unit*	$ 292,950	Exit Price per Unit:	*$ / Unit*	$ 423,662
Acquisition Price per RSF:	*$ / sq. ft.*	$ 396.39	Exit Price per RSF:	*$ / sq. ft.*	$ 573.25
Acquisition Costs (% Gross Acquisition Price):	*%*	3.0%	Selling Costs (% Gross Sale Price):	*%*	3.0%
Payments		12			
Acquisition Loan-to-Value (LTV) Ratio:	*%*	70.00%			
Loan Interest Rate:	*%*	5.89%			
Loan Amortization Period:	*# Years*	30			
Loan Maturity:	*# Years*	10			

Appendix

Pro-Forma

All figures in $USD		Historical	Projected										
	Units:	12/31/2025	12/31/2026	12/31/2027	12/31/2028	12/31/2029	12/31/2030	12/31/2031	12/31/2032	12/31/2033	12/31/2034	12/31/2035	Forward Projection Y11 for NOI
Operating Revenue													
(+) Base Rental Income	$	473,019.12	487,209.69	501,825.98	516,880.76	532,387.19	548,358.80	564,809.57	581,753.85	599,206.47	617,182.66	635,698.14	654,769.09
(-) Bad Debt & Concessions	$	(23,650.96)	(24,360.48)	(25,091.30)	(25,844.04)	(26,619.36)	(27,417.94)	(28,240.48)	(29,087.69)	(29,960.32)	(30,859.13)	(31,784.91)	(32,738.45)
(+) Parking Income	$	12,600.00	12,852.00	13,109.04	13,371.22	13,638.65	13,911.42	14,189.65	14,473.44	14,762.91	15,058.17	15,359.33	15,666.52
Potential Gross Revenue	$	**461,968.16**	**475,701.21**	**489,843.73**	**504,407.95**	**519,406.47**	**534,852.28**	**550,758.73**	**567,139.60**	**584,009.05**	**601,381.70**	**619,272.57**	**637,697.15**
(-) General Vacancy	$	-	(41,412.82)	(40,146.08)	(38,766.06)	(39,929.04)	(41,126.91)	(42,360.72)	(43,631.54)	(44,940.49)	(46,288.70)	(47,677.36)	(49,107.68)
Effective Gross Income (EGI)	$	**461,968.16**	**434,288.38**	**449,697.65**	**465,641.89**	**479,477.43**	**493,725.37**	**508,398.02**	**523,508.06**	**539,068.57**	**555,093.00**	**571,595.20**	**588,589.47**
EGI Growth Rate	%	-	-5.99%	3.55%	3.55%	2.97%	2.97%	2.97%	2.97%	2.97%	2.97%	2.97%	2.97%
Operating Expense													
(-) Utilities	$	(6,930.00)	(7,068.60)	(7,209.97)	(7,354.17)	(7,501.25)	(7,651.28)	(7,804.31)	(7,960.39)	(8,119.60)	(8,281.99)	(8,447.63)	(8,616.58)
(-) Repairs & Maintenance	$	(29,610.00)	(30,202.20)	(30,806.24)	(31,422.37)	(32,050.82)	(32,691.83)	(33,345.67)	(34,012.58)	(34,692.83)	(35,386.69)	(36,094.42)	(36,816.31)
(-) General & Admin	$	(5,670.00)	(5,783.40)	(5,899.07)	(6,017.05)	(6,137.39)	(6,260.14)	(6,385.34)	(6,513.05)	(6,643.31)	(6,776.17)	(6,911.70)	(7,049.93)
(-) Property Taxes	$	(13,230.00)	(13,494.60)	(13,764.49)	(14,039.78)	(14,320.58)	(14,606.99)	(14,899.13)	(15,197.11)	(15,501.05)	(15,811.07)	(16,127.30)	(16,449.84)
Total Expenses	$	**(55,440.00)**	**(56,548.80)**	**(57,679.78)**	**(58,833.37)**	**(60,010.04)**	**(61,210.24)**	**(62,434.44)**	**(63,683.13)**	**(64,956.80)**	**(66,255.93)**	**(67,581.05)**	**(68,932.67)**
Net Operating Income (NOI)	$	**406,528.16**	**377,739.58**	**392,017.87**	**406,808.52**	**419,467.39**	**432,515.13**	**445,963.57**	**459,824.93**	**474,111.77**	**488,837.06**	**504,014.15**	**519,656.80**
NOI Margin	%	*88%*	*87%*	*87%*	*87%*	*87%*	*88%*	*88%*	*88%*	*88%*	*88%*	*88%*	
(-) Capital Expenditures	$	-	(6,300.00)	(6,489.00)	(6,683.67)	(6,884.18)	(7,090.71)	(7,303.43)	(7,522.53)	(7,748.21)	(7,980.65)	(8,220.07)	
Projected Cash Flow (FCF)													
Purchase Price	$	(6,151,950.00)											
Purchase Fees (3%)	$	(184,558.50)											
Sales Price	$											8,660,946.60	
Sales Fees	$											(259,828.40)	
Unlevered Cash Flow	$	(6,336,508.50)	$371,439.58	$385,528.87	$400,124.85	$412,583.21	$425,424.43	$438,660.15	$452,302.40	$466,363.57	$480,856.41	$8,896,912.29	
Debt													
(-) Loan Amount	$	(4,306,365.00)											
(-) Interest Expense	$		252,203.18	248,936.65	245,472.44	241,798.58	237,902.40	233,770.43	229,388.42	224,741.22	219,812.78	214,586.10	
(-) Principal Repayment:	$		53,977.70	57,244.24	60,708.45	64,382.31	68,278.49	72,410.45	76,792.47	81,439.67	86,368.10	91,594.79	
Loan Balance	$	(4,306,365.00)	(4,252,387.30)	(4,195,143.06)	(4,134,434.61)	(4,070,052.30)	(4,001,773.81)	(3,929,363.36)	(3,852,570.89)	(3,771,131.22)	(3,684,763.11)	(3,593,168.32)	
Levered Cash Flow	$	(2,030,143.50)	65,258.70	79,347.98	93,943.96	106,402.33	119,243.54	132,479.26	146,121.51	160,182.68	174,675.53	4,997,563.07	

Appendix



https://bestneighborhood.org/household-income-phoenix-az/

Population income data, wealthier is greener, less wealth is red.